



⌚ Time: 5 minutes

⌚ Outcome: Interpret PPF points, slopes, shifts, efficiency, growth, and opportunity cost.

⌚ Difficulty: Beginner

Production Possibilities Frontier (PPF)



THE CORE IDEA

A production possibilities frontier shows the combinations of two goods an economy can produce with its current resources and technology. A bowed-out PPF shows increasing opportunity cost: specialized resources become less well suited as production shifts toward the other good. Points inside indicate unused capacity; points outside are currently infeasible.



HOW TO RECOGNIZE IT

- A PPF shows possible production combinations given current resources and technology.
- A new technology improves only medical production.
- An economy first removes unemployment, then gains new machinery.
- Using idle resources changes the production point; resources or technology shift the frontier.

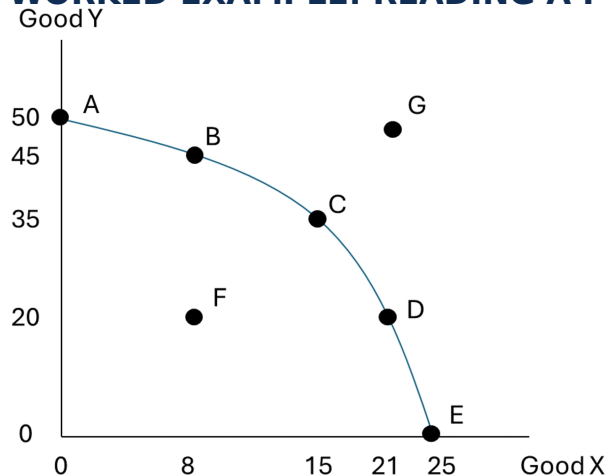


WATCH OUT

Do not confuse a PPF with a market curve. A PPF shows possible production combinations given current resources and technology. Using idle resources changes the production point; resources or technology shift the frontier.



WORKED EXAMPLE: READING A PPF



On the PPF, moving from point C (15 units of X and 35 of Y) to point D (21 of X and 20 of Y) gains 6 units of X but gives up 15 units of Y. The total opportunity cost is 15 units of Y, or $15/6 = 2.5$ units of Y per additional unit of X.



CHECK YOURSELF

Does moving along a PPF represent economic growth?



READY?

Return to the game and master this concept.